Major factor premia: mechanism, magnitude, and regime vulnerability
Sources: Fama-French, Asness et al., Ilmanen (2011), Burnside et al.

Factor	Approx. annual premium (%)	Primary mechanism	Key regime vulnerability
Equity premium	5–7	Systematic risk / recession exposure	Recessions / valuation compression
Value (HML)	3–5	Distress risk / behavioural extrapolation	Prolonged growth / momentum cycles
Momentum (UMD)	6–9	Slow information diffusion / underreaction	Sharp reversals / crowding
Quality (QMJ)	4–6	Lottery preference / neglect of quality	Speculative surges (junk rallies)
Carry (FX)	3–5	Crash risk / global volatility exposure	Risk-off episodes / carry unwinds
Low volatility	3–5	Leverage aversion / low-beta anomaly	Low-vol expensive / sharp recoveries
Term premium	1–2	Inflation uncertainty / duration risk	Inflation shocks / simultaneous sell-off
Credit spread	2–4	Default & liquidity risk / cyclicality	Credit cycles / liquidity crises